

Campaign Contributions and Political Pressure on the Federal Energy Regulatory Commission

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Slides and paper available at
judgelord.github.io/research/ferc

The political power of fossil fuel companies

Do corporate campaign contributions affect policymakers?

Surprisingly, political scientists have generally failed to find that campaign contributions affect behavior (usually roll-call votes).

But donor companies may target members of key committees (Powell and Grimmer 2015), reward favorable voting records (Goldberg et al. 2020), or be less likely to comply with regulations (Gordon and Hafer 2005).

Preview

We collect letters from Members of Congress to the Federal Energy Regulatory Commission and link them to corporate campaign contributions.

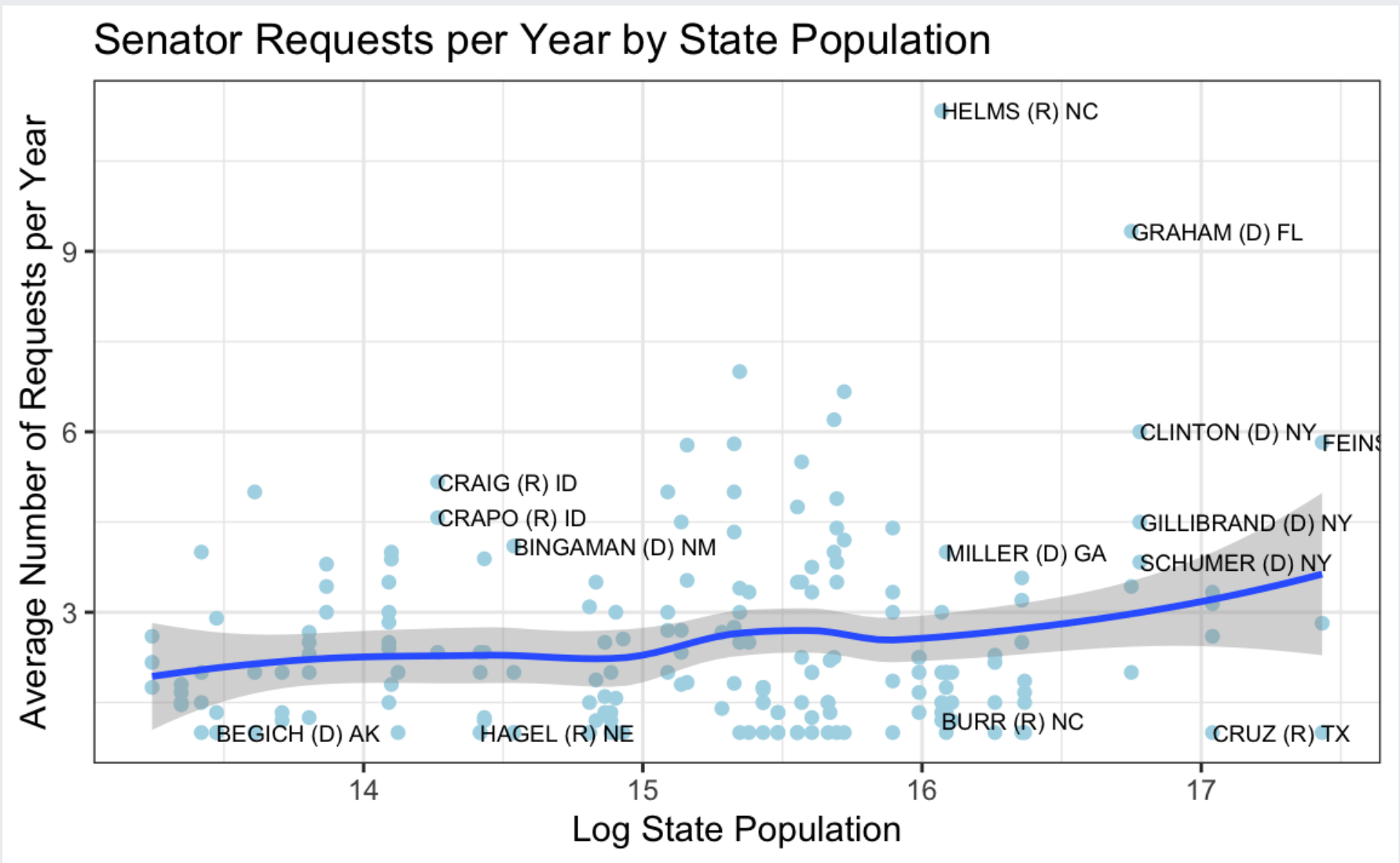
We find that **Republicans** and those who receive more **money from the energy-sector** write more letters on behalf of energy companies, but no more letters on behalf of their constituents than other legislators.

Legislator letters

- Less constrained by party leaders than votes
- Targeted at one government decision (unlike bills that often do multiple things)
- "Public records" but difficult to obtain
- Likely aligned with other types of "behind-the-scenes" advocacy

Low visibility --> opportunity for corporate influence

Having more constituents does not necessarily mean more letters.



Why study the Federal Energy Regulatory Commission?

- FERC regulates electricity markets, oil and gas pipelines, hydropower projects, and liquefied natural gas export projects
- FERC makes policy and enforcement decisions that have major consequences for how energy is produced, the distribution of energy-sector jobs, profits, and the cost of the of electricity and fuels

Why study the Federal Energy Regulatory Commission?

A hard case to find congressional influence:

- Designed to be insulated from political influence
 - Independent non-partisan commission.
 - The five commissioners are appointed to staggered 5-year terms, and no more than three can be from one party

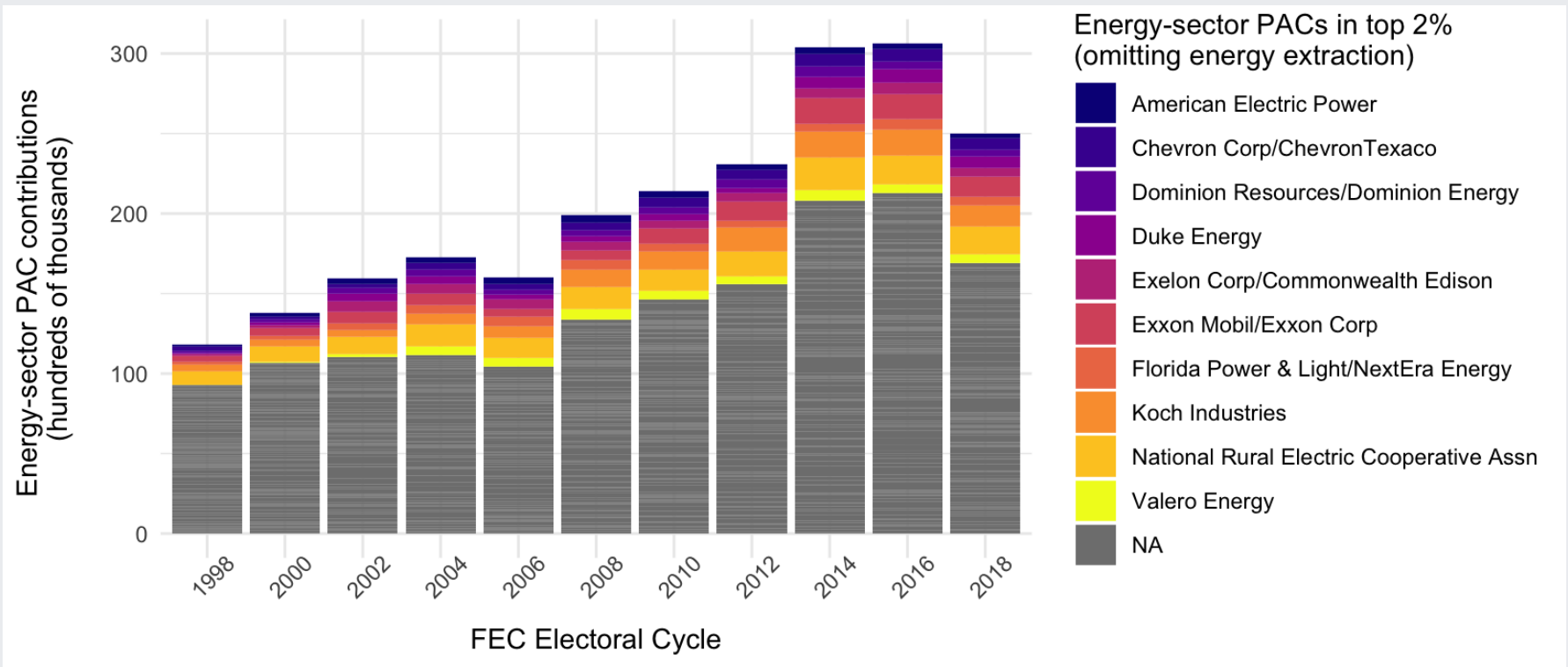
Yet, FERC receives hundreds of letters from Members of Congress each year.

Campaign Contributions

- Letters to FERC are less visible than roll-call votes.
- FERC decisions have high stakes for companies.
- The Center for Responsive Politics' industry classification of corporate Political Action Committees allows us to link Political Action Committees (PAC) to energy companies that are regulated by FERC.

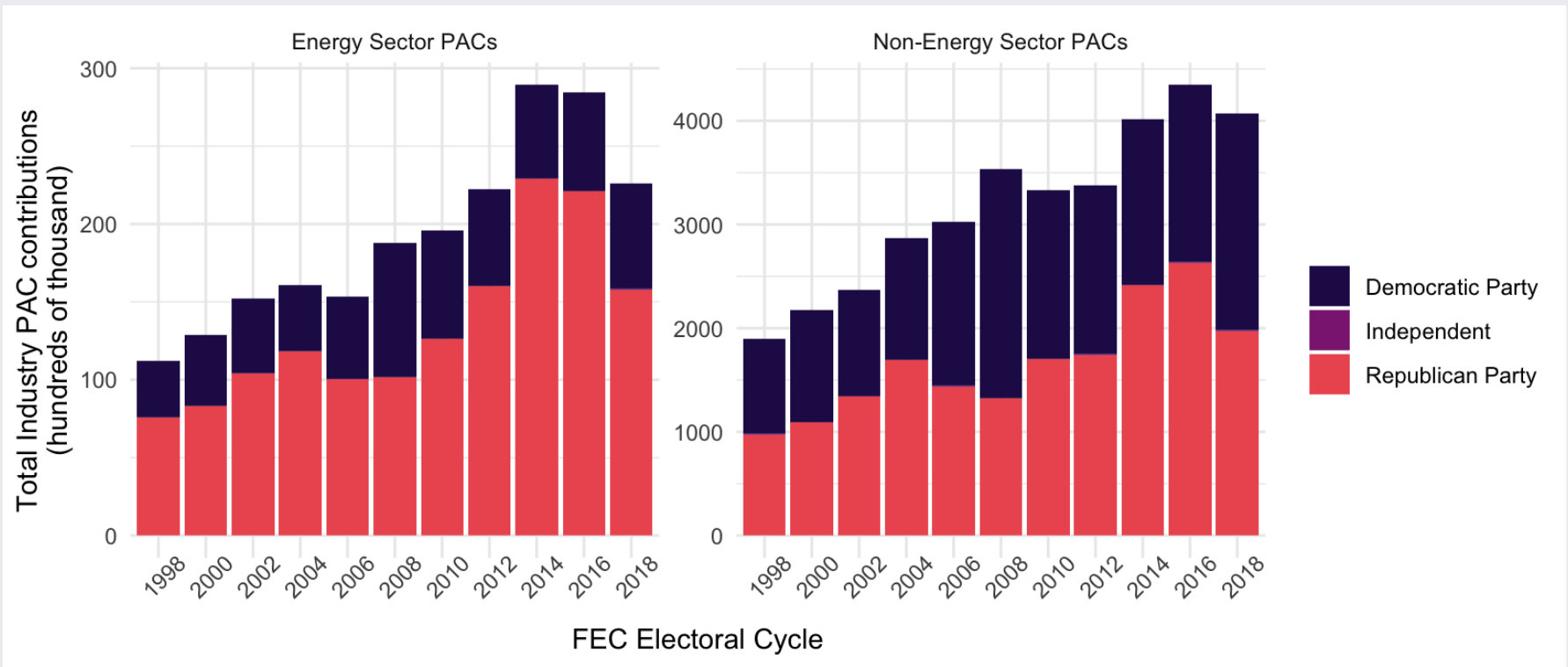
Political Action Committee (PAC) Spending

Unequal spending among energy companies



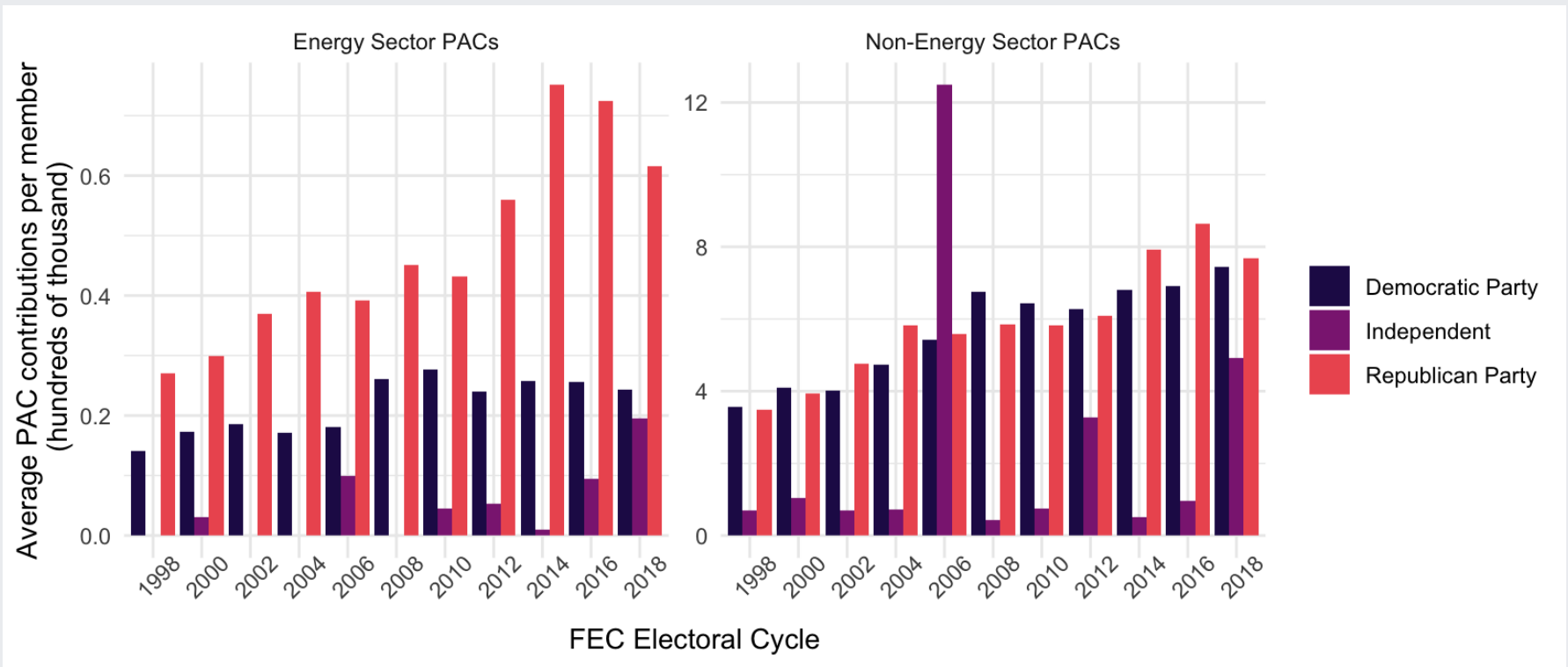
PAC Campaign Contributions by Party

A large and growing Republican bias in the energy sector



PAC Campaign Contributions by Legislator

A strong and growing Republican bias in the energy sector



The Larger Project

Congress-Bureaucracy Correspondence Data

- 400+ FOIA requests to all 233 federal agencies (a census)
- Requesting all contacts (letters/emails/phone calls) between Members of Congress and federal agencies 2007-2018. In some cases, records go back further.
- Since 2016, we have received data on 480,000+ legislator letters
 - Digital Spreadsheets
 - PDFs
 - Scans of Handwritten Documents
 - CD-ROMS

6,119 letters to FERC. Some are co-signed, so n = 6,988.

Department	Components FOIAed	Records received	Coded	N
Department of Agriculture	29	29	11	9641
Department of Commerce	19	18	10	8510
Department of Defense	49	10	7	8005
Department of Education	1	1	1	3973
Department of Energy	8	2	1	6119
Department of Health and Human Services	15	8	5	29195
Department of Homeland Security	14	12	12	35183
Department of Housing and Urban Development	2	1	1	31852
Department of Justice	23	3	2	2379
Department of Labor	22	11	7	51836
Department of State	1	0	0	0
Department of the Interior	11	7	6	5731
Department of the Treasury	7	5	5	12785
Department of Transportation	10	6	6	20497
Department of Veterans Affairs	6	3	2	76295
Independent Agencies	77	39	26	81817
Total	294	155	102	383818

Examples of letters to FERC

On behalf of energy companies, supporting a permit or project

CP08-9-000
PR08-1-000
ARMED SERVICES COMMITTEE
PERMANENT SELECT COMMITTEE
ON INTELLIGENCE

OFFICE OF
EXTERNAL AFFAIRS

MAC THORNBERRY
13TH DISTRICT
TEXAS

Congress of the United States

House of Representatives
June 6, 2008

JUN 16 P 4:35

FEDERAL ENERGY
REGULATORY COMMISSION

ORIGINAL

The Honorable Joseph T. Kelliher
Chairman
Federal Energy Regulatory Commission
888 First Street, N.E.
Washington, DC 20426-0001

Dear Chairman Kelliher,

I am enclosing letters from Wayne Hughs, Executive Vice President of the Panhandle Producers and Royalty Owners Association, and Thomas R. Cambridge, President of Cambridge Production, Inc., regarding a pending application before the Federal Energy Regulatory Commission. Both letters are requesting an expedited evidentiary hearing on a proposed lease of firm capacity by Enogex, Inc., to Midcontinent Express Pipeline, LLC, to fully explore the impact on existing shippers. I would appreciate your full consideration of these requests.

Many natural gas producers in my district are concerned about the negative impact the pending lease could have on the Eagle Rock low pressure gathering system in Wheeler County, Texas. Naturally, this raises many questions and concerns about the potential to shut in existing natural gas produced at lower pressures and discourage future exploration.

Therefore, I would appreciate the Commission fully exploring all the details and possible impacts of this issue.

Sincerely,

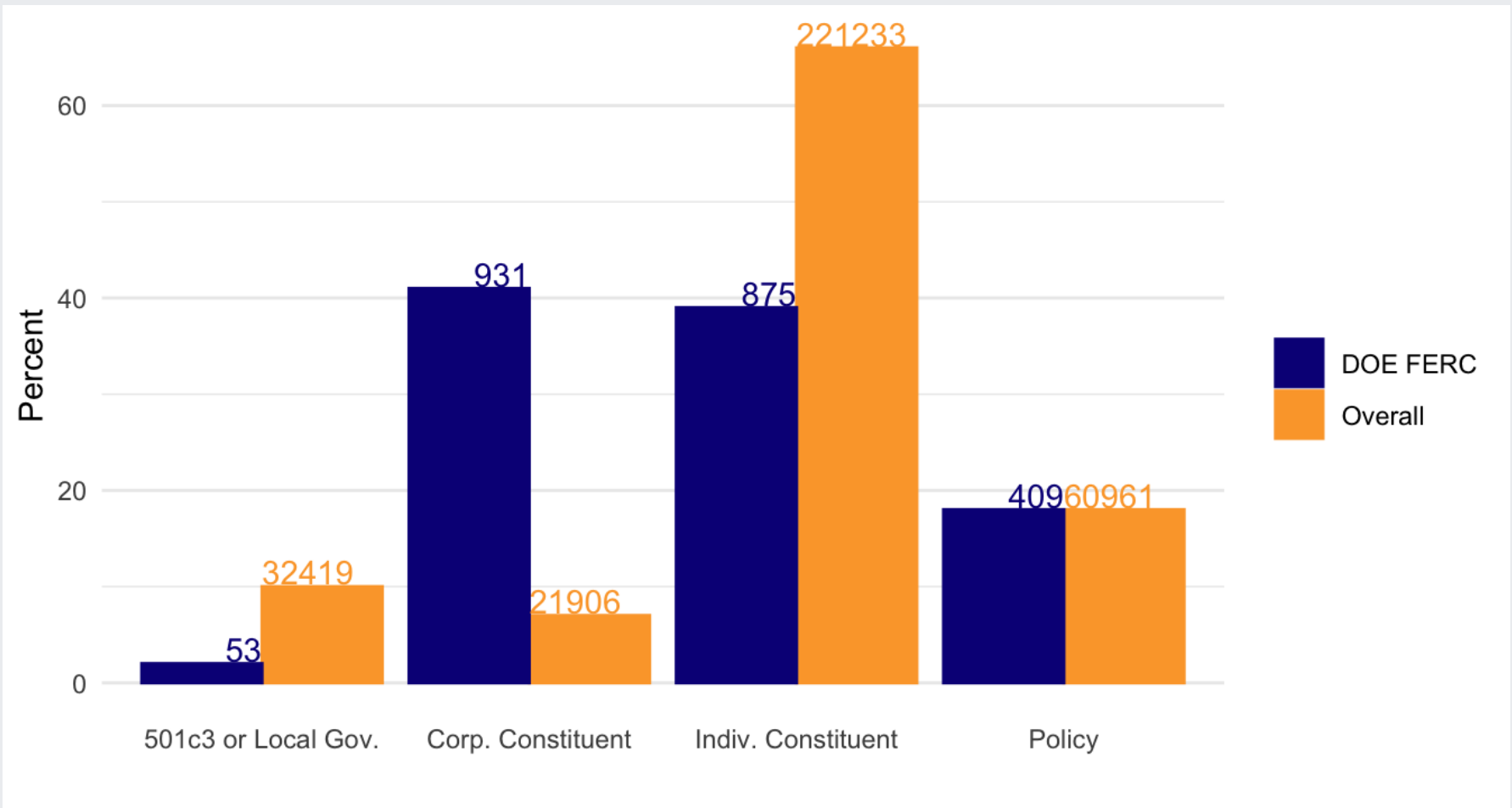


Mac Thornberry
Member of Congress

FERC Data

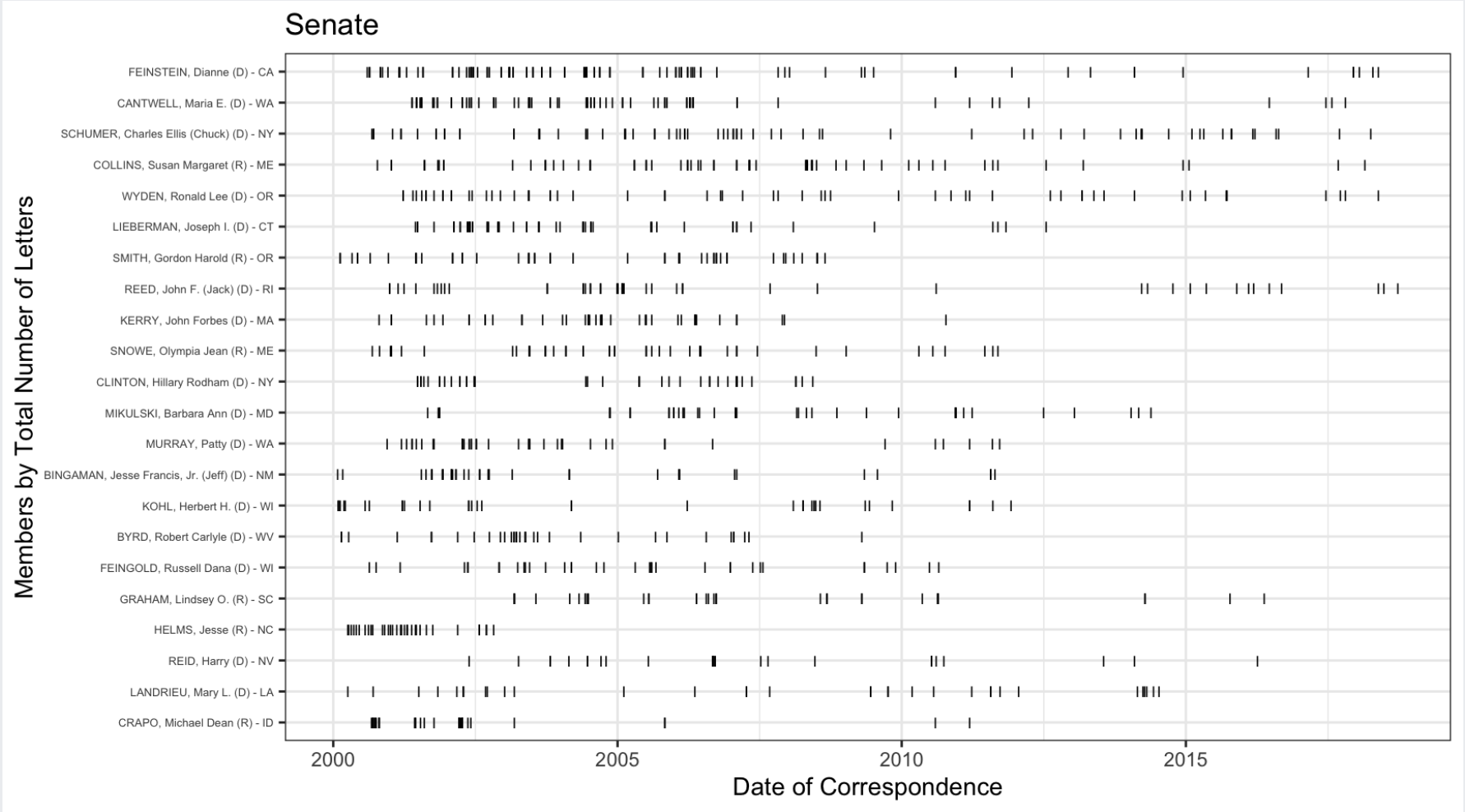
- Full text of all letters from Congress to FERC
- 6,988 members-level observations
- From January 1, 2000, to December 31, 2018
- Every letter: human coder + automated processing to identify
 - The authoring legislator(s)
 - Any companies or projects it supported or opposed
 - Whether any projects were in the district they represent
 - Whether it was constituent service (on behalf of an individual constituent, nonprofit, local government, or company) or about policy (legislation or rulemaking)
- Connected to campaign donations from the energy sector

Types of Congressional Requests FERC vs. All* Agencies

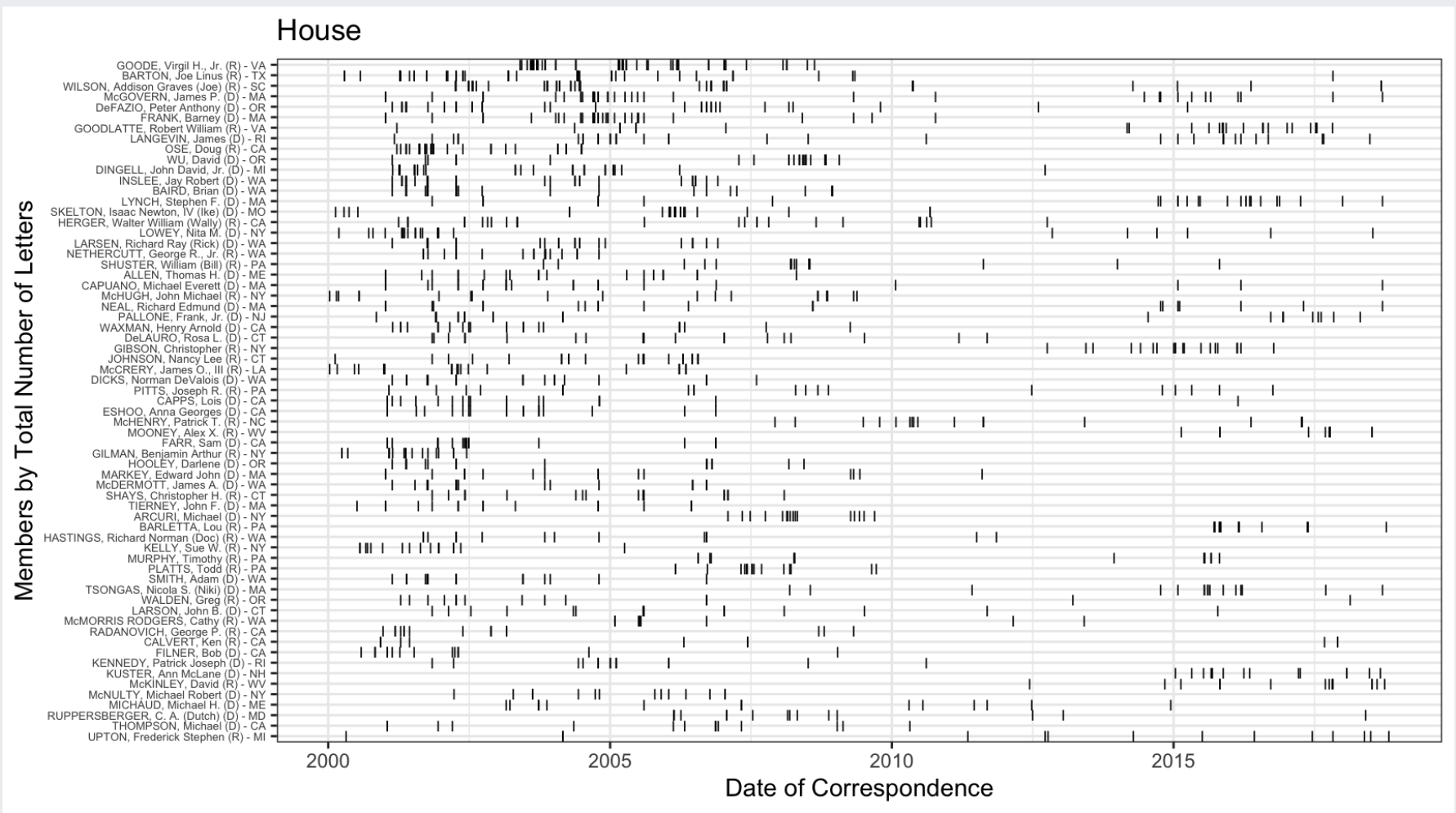


Letters to FERC are disproportionately on behalf of businesses.

We count the number of each type of letter that each legislator sent to FERC in each congress.

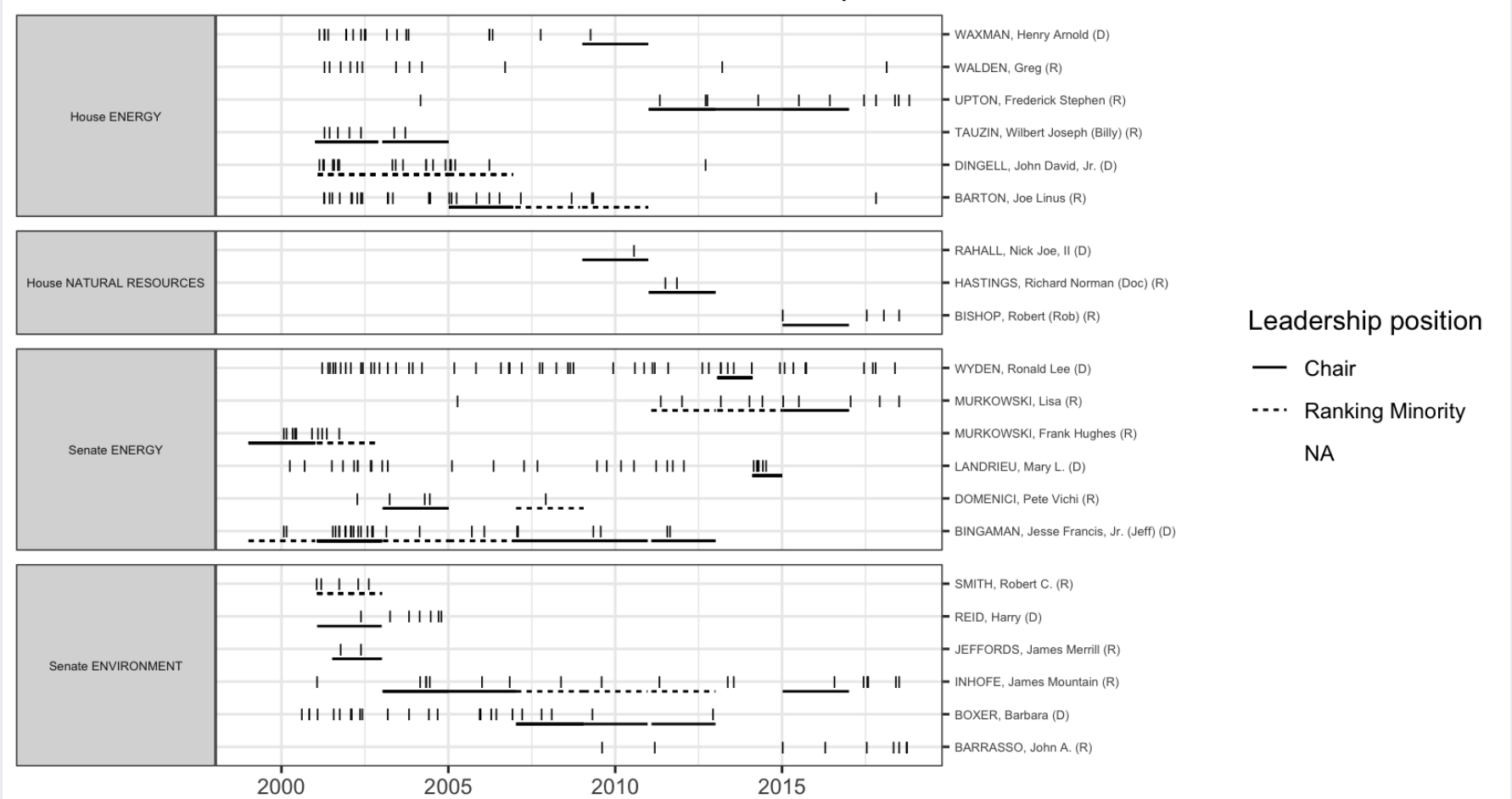


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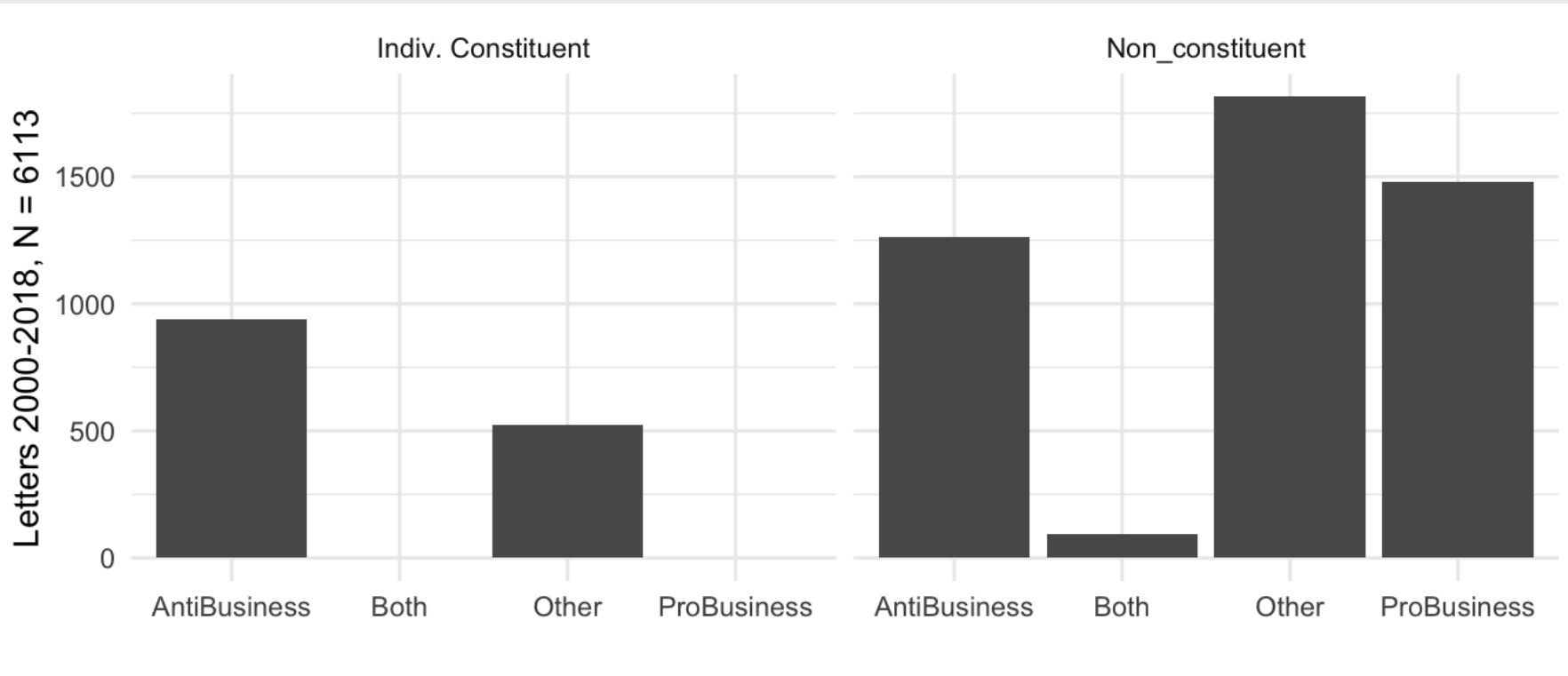
We examine the effects of legislators' institutional power elsewhere

Letters to FERC from Committee Leadership

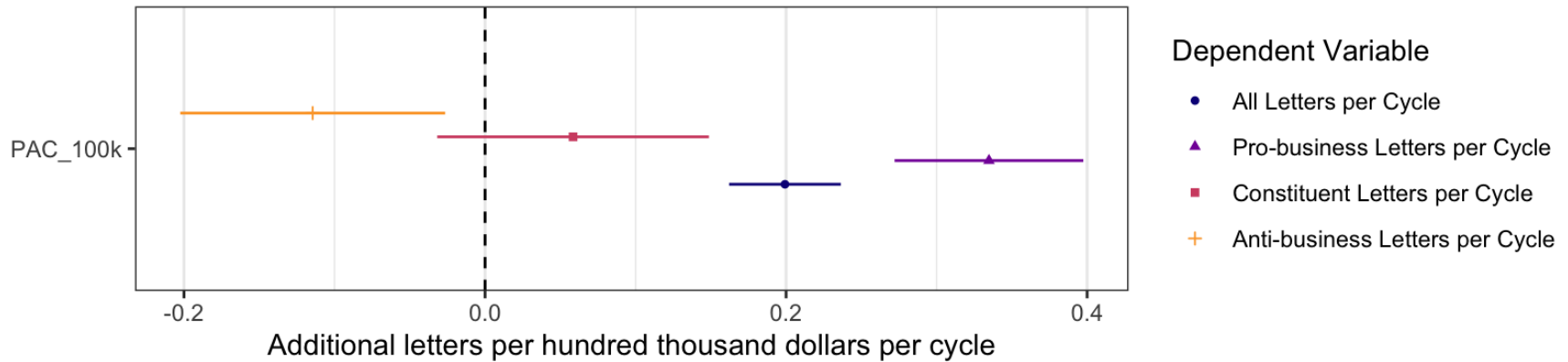


Findings

Letters on behalf of individual constituents usually oppose energy projects

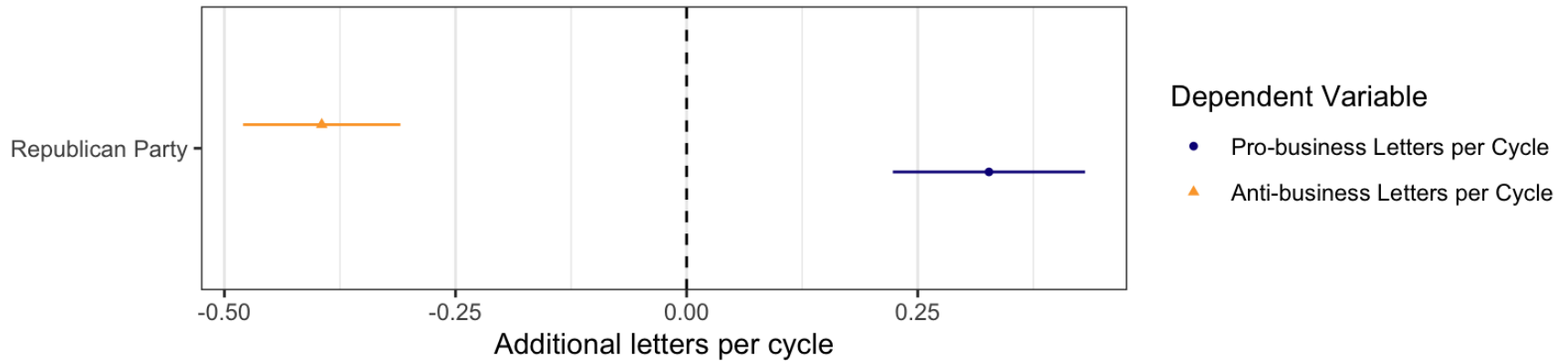


The relationship between campaign donations and different types of advocacy



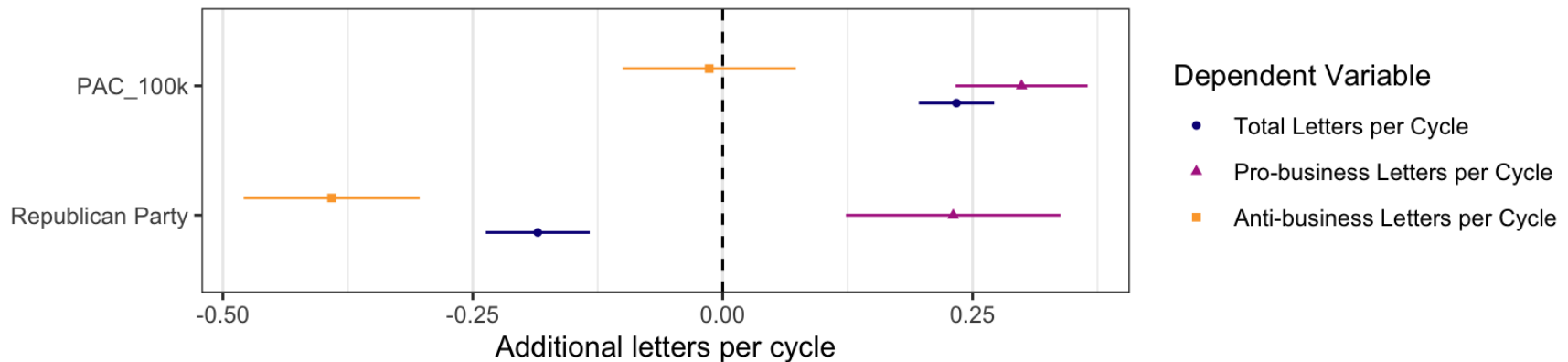
- PAC money is correlated with pro-business advocacy, but not constituent advocacy, suggesting that pro-business letters are not just about district interests
- Correlations are small, but likely indicate other (unobserved) types of advocacy

The relationship between party and different types of advocacy



- Republicans write fewer anti-business and more pro-business letters than Democrats

Party and Campaign Donations



- For pro-business advocacy, the difference between two legislators of the same party, where one receives \$100,000 more than the other, is comparable to the difference between a Republican and a Democrat
- For anti-business advocacy, there is no evidence that money matters once we account for differences by party

Conclusions

- A new look at the role of money in politics, congressional representation, the politics of agency decisionmaking
- FERC receives an unusually high rate of advocacy on behalf of businesses
- **Republicans** and those who receive **money from energy companies** write more letters on behalf of energy companies, but not on behalf of constituents
- Democrats write comparatively more letters in opposition to energy companies

Next steps

- Match individual companies mentioned in letters to campaign contributions
- Identify all companies that had business with FERC (including where no legislator intervened)
- Compare constituent demographics between a legislator's districts and letters
- Text analysis to uncover trends in corporate and congressional advocacy
- Impact of Letters on Outcomes (the outcome or speed of FERC decisions)

Challenges

- Linking energy projects, subsidiary companies, and parent companies
- Understanding energy company behavior (how do company officials decide to engage elected officials?)
- Parsing elected officials' multiple motivations (ideology, fundraising, jobs in their district, environmental harms)

Discussion

- Trends in energy company lobbying we should be looking for?
- How might we measure public support for specific energy projects?
- What else might we study with these data?
- Research with which we should engage?

Thank you!

Paper and slides at judgelord.github.io/research/ferc/

Comments & questions welcome: judgelord@wisc.edu @judgelord